CLEARVIEW AI AND GDPR VIOLATIONS 2022

A CASE STUDY

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Case Study on GDPR Violation: The Clearview AI Facial Recognition Controversy 2022

2. Introduction

In the modern digital era, personal data has become one of the most valuable assets, often compared to oil due to its importance in driving innovation and economic growth. Organizations across the world increasingly rely on collecting, storing, and analyzing personal data to improve services, enhance user experiences, and develop advanced technologies such as artificial intelligence and machine learning. However, this rapid expansion of data usage has also created serious concerns about privacy, security, and ethical responsibility, as individuals are often unaware of how their personal information is being collected and used.

To address these concerns, the European Union introduced the General Data Protection Regulation (GDPR) in 2018, which provides a comprehensive legal framework to protect personal data and ensure that organizations process such data in a lawful, fair, and transparent manner. GDPR also empowers individuals by giving them rights over their data, such as the right to access, correct, and delete their information. Despite these strict regulations, some companies have failed to comply with GDPR principles, leading to serious violations. One of the most notable examples is the Clearview AI controversy, where a company used facial recognition technology to collect and process billions of images without obtaining user consent, raising significant legal and ethical issues

3.Background of the Organization and Technology

- **Company Overview and Data Collection Model**

Clearview AI, founded in 2017 in the United States, developed a sophisticated facial recognition system that operates by collecting vast amounts of image data from publicly accessible online sources such as social media platforms, news websites, and blogs, using automated web scraping tools that systematically extract images without informing users or obtaining their consent, thereby enabling the company to build an extensive database containing billions of images, which significantly exceeds the scale of traditional facial recognition datasets and raises concerns about the legitimacy and ethics of such large-scale data collection practices.

- **Technical Working of the System**

The functioning of Clearview AI's technology involves multiple stages, beginning with the collection of images, followed by the detection and extraction of facial features using artificial intelligence algorithms, which convert these features into unique biometric identifiers known as facial vectors, and subsequently store them in a structured database that can be searched efficiently, so that when a user uploads a photograph, the system compares it against the stored data using pattern recognition techniques and provides matching results along with links to the original sources, thereby enabling identification of individuals even if they have never directly interacted with the system.

- **Timeline of the Incident**

  - 2017. The company was. Began making its facial recognition technology by taking photos from the internet.
  - 2019. People found out that the company had made a database of faces from photos on the internet.
  - 2020. Groups that care about privacy and individuals filed complaints with regulators saying the company was taking and using personal photos without permission.
  - 2021. Regulators in Europe started investigating the company to see if they broke any GDPR rules.
  - 2022. Several European countries fined Clearview AI for breaking the law by collecting and using data without permission.

- 2024. The Netherlands fined Clearview AI €30.5 million for making a database without a good reason.

These investigations showed that people are getting more concerned about facial recognition technology and the need for laws to protect personal information.

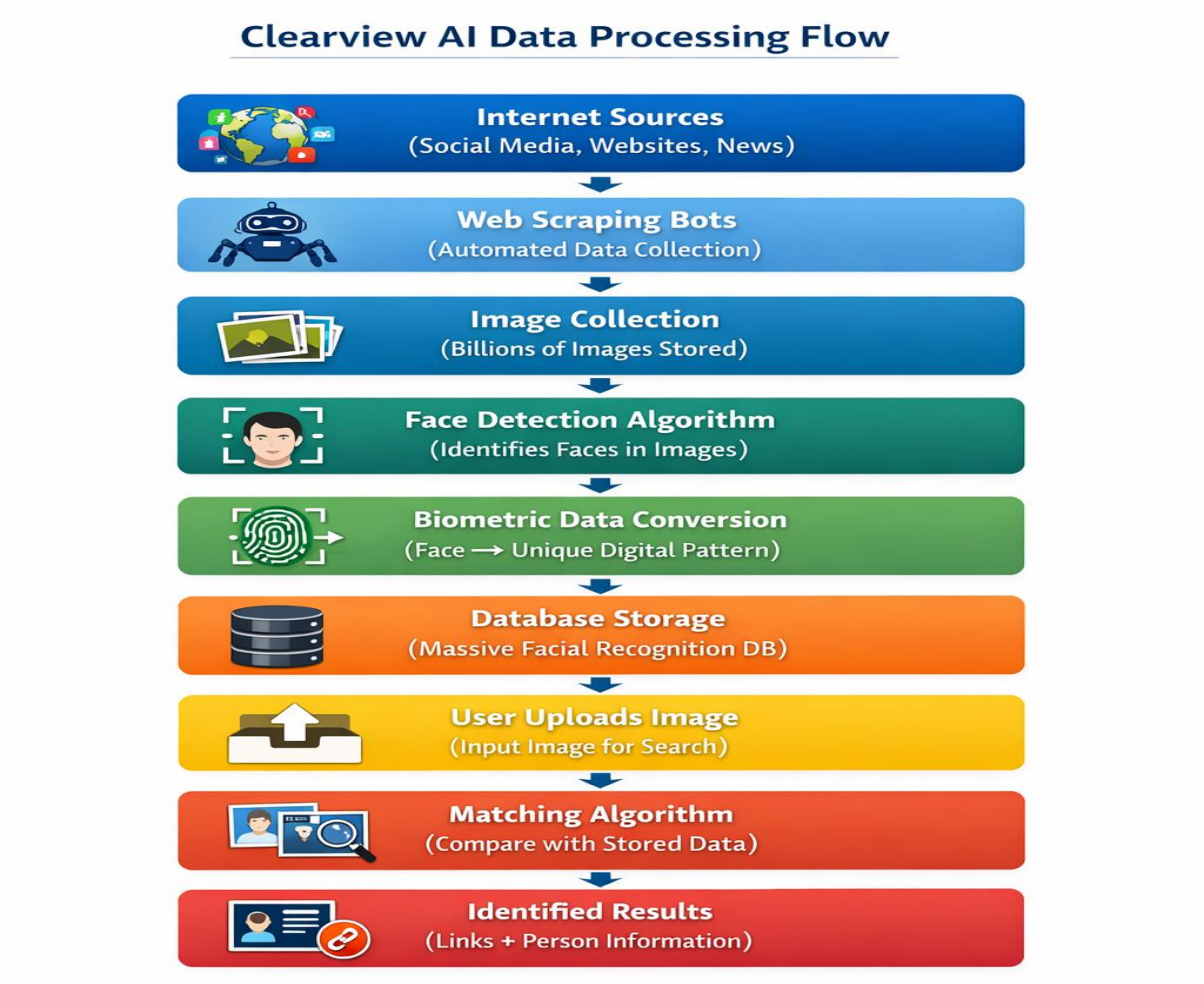

Figure2.1

4. Nature of the Violation and Key Issues

- **Unauthorized Data Collection and Misuse**

The primary issue in the Clearview AI case arises from its method of collecting personal data without obtaining explicit consent, as the company relied on automated scraping tools to gather billions of images from online platforms where users had originally shared their photos for social or informational purposes, yet these images were repurposed for facial recognition, which represents a completely different and unauthorized use, thereby violating the expectations of users and undermining their

right to privacy, while also raising questions about whether publicly available data can be freely used for any purpose without legal or ethical restrictions.

- **Biometric Data Processing and Lack of Transparency**

A particularly serious aspect of this case is the processing of biometric data, which is classified as sensitive personal data under GDPR and requires explicit consent due to its unique and permanent nature, yet Clearview AI proceeded to convert images into biometric identifiers without informing individuals, thereby failing to provide transparency about its data processing practices, and additionally, the company did not offer effective mechanisms for users to access their data, request corrections, or demand deletion, which further aggravated the violation and demonstrated a lack of respect for user rights.

- **Commercialization and Surveillance Concerns**

Another major concern is the commercialization of the collected data, as Clearview AI provided access to its database to law enforcement agencies and other entities, which enabled large-scale identification and tracking of individuals without their knowledge, thereby creating the potential for surveillance and misuse of personal data, and raising ethical questions about the balance between security and privacy, particularly in situations where such technology could be used without proper oversight or accountability.

5. GDPR Principles Violated and Legal Analysis

- **Violation of Core GDPR Principles**

The actions of Clearview AI constitute a clear violation of several fundamental principles of GDPR, including lawfulness, fairness, and transparency, as the company processed personal data without a valid legal basis and failed to inform individuals about its activities, thereby making the processing unlawful and unfair, while also violating the principle of purpose limitation by using data collected for one purpose in a completely different context, and ignoring the principle of data minimization by

collecting excessive amounts of data without demonstrating its necessity, which reflects a systematic disregard for data protection requirements.

- **Violation of Data Subject Rights and Sensitive Data Rules**

Furthermore, Clearview AI failed to uphold the rights of data subjects, such as the right to access, rectify, and erase personal data, as individuals were not given any meaningful way to exercise these rights, and the processing of biometric data without explicit consent represents a violation of Article 9 of GDPR, which provides special protection for sensitive categories of data, while the lack of accountability and failure to implement compliance measures further highlight the company's inability to meet legal obligations under GDPR.

6. Impact and Consequences of the Violation

The impact of the Clearview AI case was extensive and affected individuals, society, governments, and the technology industry. For individuals, the most significant consequence was the loss of privacy and control over personal data. People whose images were collected without consent faced the risk of being identified and tracked without their knowledge, leading to concerns about surveillance and misuse of information.

From a societal perspective, the case raised serious ethical concerns about the use of facial recognition technology and the potential emergence of a surveillance society. The ability to monitor individuals without their consent threatens civil liberties and can lead to misuse by authorities or other entities. The case also highlighted the issue of bias and inaccuracies in facial recognition systems, which can result in wrongful identification and discrimination.

For governments and regulators, the case emphasized the need for stronger enforcement of data protection laws and the development of new regulations to address emerging technologies. It also demonstrated the challenges of regulating companies that operate across borders. In the technology sector, the controversy led to increased scrutiny of artificial intelligence systems and a growing demand for

ethical practices. Companies are now more aware of the importance of compliance and the risks associated with ignoring data protection laws.

7. Actions Taken, Penalties, and Enforcement Challenges

- **Regulatory Actions and Penalties**

In response to the violations committed by Clearview AI, several European data protection authorities conducted investigations and imposed significant financial penalties on the company, including fines amounting to millions of euros in countries such as Italy, France, and Greece, while also ordering the company to stop processing the personal data of EU citizens and to delete the data it had already collected, thereby demonstrating the seriousness of the violations and the commitment of regulators to enforce GDPR provisions.

- **Challenges in Enforcement**

However, enforcing these penalties posed challenges due to the company's location outside the European Union, which made it difficult to ensure full compliance, yet the case established an important precedent by demonstrating that GDPR can be applied to organizations operating outside the EU if they process the data of EU citizens, thereby reinforcing the global reach and significance of data protection laws.

8. Recommendations and Preventive Measures

To prevent similar violations in the future, organizations must adopt a comprehensive approach to data protection that includes legal, technical, and ethical considerations. One of the most important measures is obtaining explicit consent from individuals before collecting and processing their data. Organizations should ensure that users are fully informed about how their data will be used and should provide clear and accessible privacy policies.

Transparency must be prioritized so that individuals understand how their data is being handled. Companies should implement mechanisms that allow users to access their data, request corrections, and exercise their right to be forgotten. Additionally, organizations should follow the principle of data minimization by collecting only the data that is necessary for a specific purpose.

From a technical perspective, strong security measures such as encryption and secure storage should be implemented to protect sensitive data. Organizations should also conduct Data Protection Impact Assessments (DPIAs) when dealing with high-risk technologies like facial recognition. Furthermore, adopting ethical practices in the use of artificial intelligence is essential to ensure that technology does not harm individuals or society. By prioritizing privacy and accountability, organizations can build trust and avoid legal consequences.

9. Conclusion

The Clearview AI controversy serves as a significant example of how advanced technologies can lead to serious privacy violations when not properly regulated. While facial recognition technology offers potential benefits in areas such as law enforcement and security, its misuse can result in severe ethical and legal consequences. This case highlights the importance of transparency, consent, and accountability in data processing activities.

It also demonstrates the critical role of GDPR in protecting individual rights and ensuring that organizations are held accountable for their actions. As technology continues to evolve, it is essential to strike a balance between innovation and privacy, ensuring that advancements do not compromise fundamental human rights. Ultimately, the case reinforces the idea that personal data belongs to individuals, and its use must always respect their rights and freedoms.

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